CITY OF LOS ANGELES PROPOSITION TE

TITLE:
PROPERTY TRANSFER TAX EXEMPTION FOR VICTIMS OF JANUARY 2025 FIRE DISASTER.

THE ISSUE:
Should an ordinance be adopted to provide a one-time exemption from the City's Homelessness and Housing Solutions Tax (Proposition ULA) for residential properties damaged or destroyed in the Palisades Fire and sold within five years from the date the Fire began?

THE SITUATION:
In 2022, voters approved Proposition ULA, a special documentary transfer tax on sales of property over $5 million (as adjusted for inflation) to fund affordable housing and tenant assistance programs. The Palisades Fire, which began on January 7, 2025, damaged or destroyed many residential properties, including homes and residential units. Fire damaged properties that have been sold or will be sold for over $5 million (as adjusted for inflation) would be subject to the Proposition ULA tax.

THE PROPOSAL:
This measure would exempt sales of residential properties over $5 million (as adjusted for inflation) that were damaged or destroyed by the Palisades Fire from the Proposition ULA tax. If a damaged or destroyed residential property is sold between January 7, 2025 and January 6, 2030 by the owner on the date the Fire began, the sale would qualify for a one-time refund or exemption from the Proposition ULA tax.

A YES VOTE MEANS:
You want sales of residential properties over $5 million (as adjusted for inflation) that were damaged or destroyed by the Palisades Fire to qualify for a one-time refund or exemption from the Proposition ULA tax if sold within five years from the date the Fire began.

A NO VOTE MEANS:
You do not want sales of residential properties over $5 million (as adjusted for inflation) that were damaged or destroyed by the Palisades Fire to qualify for a one-time refund or exemption from the Proposition ULA tax if sold within five years from the date the Fire began.

THE FULL TEXT OF THIS MEASURE BEGINS ON PAGE 15.

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Shall an ordinance be adopted to provide a one-time exemption from the City's special documentary transfer tax (Proposition ULA) for residential properties that were damaged or destroyed in the Palisades Fire and are sold within five years of the date of the Fire?

IMPARTIAL SUMMARY
BY SHARON M. TSO, CHIEF LEGISLATIVE ANALYST

The City of Los Angeles imposes a documentary transfer tax of 0.45 percent on the sale or transfer of real property. In 2022, voters approved the Homelessness and Housing Solutions Tax (Proposition ULA), an additional special documentary transfer tax on the sale or transfer of real property. Proposition ULA established a four percent tax on the sale or transfer of real property over $5 million and a 5.5 percent tax on sales or transfers at $10 million or more. The property sale thresholds subject to the tax are adjusted annually based on the Chained Consumer Price Index and are currently at $5.4 million and $10.9 million. Government entities, qualified affordable housing organizations, and certain non-profit organizations are exempt from the tax.

Revenue from the Proposition ULA tax is used for affordable housing and tenant assistance programs. The Affordable Housing Program funds the production and rehabilitation of affordable housing. The Homelessness Prevention Program funds various tenant assistance activities, such as financial support or legal support in eviction cases. No more than eight percent of the revenue can be used for program administration, reporting, compliance, and implementation.

On January 7, 2025, the Palisades Fire began. According to data from the Los Angeles Department of Building and Safety, the Palisades Fire led to the damage and destruction of approximately 5,620 structures, of which an estimated 5,495 were residential structures. If any of these properties are sold or transferred for over $5 million (as adjusted for inflation), the transaction would be subject to the Proposition ULA tax.

This measure would exempt the sale or transfer of residential properties over $5 million (as adjusted for inflation) that were damaged or destroyed by the Palisades Fire from the Proposition ULA tax. Damage or destruction would be verified by the Department of Building and Safety. If a damaged or destroyed residential property is sold or transferred between January 7, 2025 and January 6, 2030 by the owner of record on the date the Palisades Fire began, the sale or transfer would qualify for a one-time refund or exemption from the Proposition ULA tax.

The Director of Finance would be authorized to issue refunds on eligible claims for any Proposition ULA tax paid prior to the effective date of this measure.

This measure would provide financial relief for property owners affected by the Palisades Fire. This measure may lead to a reduction in Proposition ULA tax revenues, which would result in a decrease of funding for affordable housing and tenant assistance programs.

This measure will become effective if approved by a majority of voters.

FINANCIAL IMPACT STATEMENT
BY MATTHEW W. SZABO, CITY ADMINISTRATIVE OFFICER

This measure grants a one-time exemption from the Proposition United to House LA (ULA) documentary transfer tax to residential properties damaged or destroyed in the 2025 Palisades Fire and sold between January 7, 2025 and January 6, 2030. This exemption will not impact the City's General Fund, but will reduce revenue to the House LA Fund, which finances affordable housing production and homelessness prevention programs. The estimated reduction in ULA revenue is between $35 million and $66 million through January 2030. This estimate is based on the average ULA tax paid per eligible transaction in the Palisades, the number of rebuilt homes listed for sale as of July 2026, and post-fire sales of vacant parcels. The upper estimate assumes the average number of transactions doubles. Actual revenue losses will depend on total eligible residential properties sold before the exemption expires.

ARGUMENT IN FAVOR OF PROPOSITION TE

Los Angeles voters approved Measure ULA to address the homelessness and housing crisis. It was never intended to penalize survivors who lost everything in a declared disaster.

When a fire, earthquake, or other disaster destroys a home or entire community, victims often have no choice but to sell their property to pay expenses, relocate, restore belongings, or recover financially. Requiring them to pay the ULA real estate tax when they have already lost everything - through no fault of their own - only makes a devastating situation worse.

After navigating unimaginable difficulties with insurance companies, skyrocketing rebuilding costs, and uncertain timelines, many fire survivors face an impossible choice: take on costs they cannot afford to rebuild, or sell the property they lost. They should not be further penalized by the ULA tax for circumstances beyond their control.

Providing tax relief to disaster victims is about fairness, compassion, and common sense. It preserves the core purpose of ULA, while recognizing that survivors of catastrophic losses deserve support and flexibility.

This measure does not repeal ULA or create a loophole for investors or speculators. Rather, this narrowly-tailored measure provides a limited, one-time exemption for owners of residential properties, including multi-family buildings, damaged or destroyed in the January 7, 2025 fires.

As Los Angeles has experienced firsthand, disasters can strike any neighborhood. When a disaster is declared, our response should be to help people recover, not impose additional financial burdens at the worst possible moment.

Supporting disaster victims is not a partisan issue. It is a statement that Los Angeles stands with its residents in their greatest time of need.

A **YES** vote preserves the intent of ULA while removing financial barriers to disaster recovery.

PERSONS SIGNING ARGUMENT IN FAVOR OF PROPOSITION TE

TRACI PARK
Councilmember, 11th District
City of Los Angeles

KAREN BASS
Mayor
City of Los Angeles

MARQUEECE HARRIS-DAWSON
Council President, 8th District
City of Los Angeles

MONICA RODRIGUEZ
Councilmember, 7th District
City of Los Angeles

BEN ALLEN
State Senator
State of California

JACQUI ERWIN
Assemblymember
State of California

NICK MELVOIN
Schoolboard Member
Los Angeles Unified School District

LA/OC BUILDING & CONSTRUCTION TRADES COUNCIL
Ernesto Medrano
Executive Secretary

WESTERN STATES REGIONAL COUNCIL OF CARPENTERS
Favian Guillen
Executive Secretary Treasurer

PACIFIC PALISADES COMMUNITY COUNCIL
Allison Holdorff Polhill
President

NO ARGUMENT AGAINST THIS MEASURE WAS SUBMITTED.

Arguments printed are the opinions of the authors and are not checked for accuracy by any City agency. In addition, the title beneath a signer's name is for identification purposes only and does not indicate that the individual is signing on behalf of the organization.

New provisions or language added to the Municipal Code or to existing Municipal Code sections are shown in underline type; words deleted from the Municipal Code or from existing Municipal Code sections are shown in ~~strikeout~~ type.

PROPOSITION TE

TEXT OF THE PROPOSED BALLOT MEASURE

Section 1. A new Section 21.9.17 is added to the Municipal Code of the City of Los Angeles, regarding exemptions to the Homelessness and Housing Solutions Tax, to read as follows:

SEC. 21.9.17. EXEMPTION – PALISADES FIRE

(a) The Homelessness and Housing Solutions Tax imposed by Subsection (b) of Section 21.9.2 of this Code shall not apply with respect to any deed, instrument or writing by which any lands, tenements, or other realty sold within the City of Los Angeles shall be granted, assigned, transferred or otherwise conveyed to, or vested in, the purchaser or purchasers, or any other person or persons, provided that:

(1) the land, tenements, or other realty sold within the City of Los Angeles is a residential property damaged or destroyed by the Palisades Fire in January 2025;

(2) the damage or destruction of the residential property described in Subsection (a)(1) is verified by the Department of Building and Safety;

(3) the grantor, assignor, or transferor is the owner or owners of the residential property described in Section (a)(1);

(4) the grantor, assignor, or transferor described under Subsection (a)(3) was the owner or owners of the residential property described in Subsection (a)(1) on January 7, 2025;

(5) the property described in Subsection (a)(1) did not previously obtain an exemption under this Section; and

(6) the property described in Subsection (a)(1) is not otherwise exempt from Subsection (a) of Section 21.9.2 of this Code.

(b) "Damaged" shall have the same application as set forth in Section 16.03 of this Code.

(c) Subsection (a) shall be operative beginning January 7, 2025 through January 6, 2030.

(d) The Director of Finance is authorized and empowered to issue refunds on eligible claims, which are deemed to accrue, for any Homelessness and Housing Solutions Tax imposed pursuant to Subsection (b) of Section 21.9.2 that was paid prior to the effective date of this section, in the manner provided in Section 21.9.10 of this Code. Any time limits set by Section 21.9.10 of this Code with respect to the refunds described herein shall not start to run until the effective date of this section.

Sec. 2. Severability. If any section, subsection, clause, sentence, phrase, or application of this ordinance or any portion thereof is held unconstitutional or invalid by any court or tribunal of competent jurisdiction, the remaining sections, subsections, clauses, sentences, phrases,

portions, or applications of this ordinance shall remain in full force and effect, and to this end the provisions of this ordinance are severable. In addition, the voters declare that they would have passed all sections, subsections, clauses, sentences, phrases, portions, and applications of this ordinance without the section, subsection, clause, sentence, phrase, portion, or application held unconstitutional or invalid.